



INTERNAL CONFIDENTIAL DOCUMENT

Pricing & Commercial Policy

Software Engineering & Technology Delivery

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Owner	Managing Director
Company	DISTILLOGIC TECHNOLOGIES

Restricted internal use

This policy contains commercially sensitive pricing methodology, internal decision rules and negotiation boundaries.

It must not be supplied to clients, suppliers or external engineering resources unless specifically authorised by management.

Complexity distilled. Technology delivered.

1. PURPOSE

This Pricing & Commercial Policy defines the principles used by DISTILLOGIC TECHNOLOGIES to price software engineering, technology delivery and professional services engagements.

The policy ensures that every commercial proposal covers the full cost of delivery, protects the required margin, reflects complexity and risk, preserves negotiation flexibility, supports predictable cash flow, prevents uncontrolled discounting and maintains consistent decision-making.

This document is for internal use only and shall not be provided externally without management authorisation.

2. COMMERCIAL PRINCIPLES

DISTILLOGIC shall not price engagements solely by comparing competitor hourly rates. Pricing shall consider the complete economics and responsibility of the engagement.

The objective is not to offer the lowest market price. The objective is a commercially sustainable price corresponding to the technical capability and delivery responsibility undertaken by DISTILLOGIC.

- actual resource and employer or contractor cost
- delivery management, infrastructure, software and operational overhead
- project complexity, contractual risk, delivery risk and utilisation risk
- payment terms, engagement duration and required availability
- specialist scarcity, client strategic value and required company margin

3. PRICING STRUCTURE

Every engagement shall establish three internal pricing levels.

Pricing level	Purpose
Floor Rate	Absolute minimum commercially acceptable price. It covers full delivery cost, overhead, risk allowance and minimum required profit. It is never disclosed to the client.
Target Rate	Preferred selling price that DISTILLOGIC intends to achieve following normal negotiation.
Opening Rate	Initial quoted rate or commercial position, normally above the Target Rate where negotiation is expected.

4. INTERNAL RATE FORMULA

The internal pricing model follows the structure below. The client quotation then includes the appropriate negotiation margin.

Minimum Commercial Value

Resource Cost + Employment / Contractor Cost + Delivery Overhead + Infrastructure & Software + Management Allocation + Risk Reserve + Required Profit = Minimum Commercial Value

5. FULL RESOURCE COST

Salary or contractor invoice alone is not the true cost of a resource. Full cost includes all applicable direct and indirect items.

- gross salary, contractor remuneration, freelance fees, overtime, bonuses and allowances
- employer social contributions, statutory costs, leave, holiday and sick-leave provision

- laptop, workstation, monitors, peripherals, replacement provision and mobile equipment
- development, cloud, collaboration, security, testing, design and AI licences
- cloud services, environments, storage, backups, monitoring, network and security infrastructure
- project or delivery management, architecture, technical leadership, QA leadership and administration
- office, accounting, legal, insurance, telecommunications, sales, management, recruitment and other non-billable overhead

6. INTERNAL RESOURCE COST CALCULATION

DISTILLOGIC may calculate an Effective Hourly Cost using: $\text{Total Monthly Resource Cost} / \text{Realistic Billable Hours} = \text{Effective Hourly Cost}$.

The model shall not assume that all working hours are billable. It should allow for meetings, internal administration, training, leave, bench time, project transitions and non-billable support.

7. COMMERCIAL MARGIN

DISTILLOGIC distinguishes Markup, the percentage added to cost, from Gross Margin, the percentage of revenue remaining after direct delivery cost. They are not equivalent.

Example: if a resource costs EUR 30 per hour and is sold at EUR 50 per hour, Markup is 66.7%, while Gross Margin is 40%. Commercial decisions shall therefore be based primarily on margin, not merely markup.

8. RESOURCE RATE CATEGORIES

Internal commercial bands are maintained by role and seniority. Rates are not determined solely by job title; they also reflect experience, depth, language, industry knowledge, certifications, availability, client requirements and skill scarcity.

Category	Examples
Junior Engineering	Junior Developer, Junior QA
Mid-Level Engineering	Backend, Frontend, Full-Stack, Mobile
Senior Engineering	Senior Software Engineer, Senior QA
Specialist Engineering	DevOps, Data Engineer, AI/ML Engineer
Technical Leadership	Technical Lead, Solution Architect
Delivery Leadership	Project Manager, Delivery Manager
Advanced Specialist	Principal Architect, AI Specialist, SRE

9. TIME & MATERIALS

Time & Materials services are billed according to actual approved effort, normally as $\text{Approved Time} \times \text{Contracted Rate}$. Units may be hourly, daily or monthly capacity. Supporting evidence may include digital timesheets, sprint records, work logs or approved delivery reports.

10. DAILY RATES

Unless otherwise agreed, one standard commercial day equals eight working hours. Different arrangements may apply to onsite delivery, travel, night work, weekends and on-call support.

11. MONTHLY DEDICATED RESOURCE PRICING

A monthly commercial fee may include defined capacity, resource reservation, standard management, equipment and delivery tooling. The agreement must define expected hours, holidays, overtime, replacement rules, notice period, travel and exceptional support requirements.

12. DEDICATED TEAM & ENGINEERING SQUAD PRICING

A complete squad is not necessarily priced as the simple sum of individual developer rates. Pricing must also reflect team coordination, technical leadership, delivery management, reporting, shared infrastructure and delivery responsibility.

- Technical Lead
- Backend and Frontend Engineers
- QA and DevOps Engineers
- Business Analyst
- Project or Delivery Manager

13. WORK PACKAGE PRICING

The selected model must reflect uncertainty and risk.

- Time & Materials where scope may evolve
- Fixed Scope / Fixed Price where requirements and acceptance criteria are sufficiently defined
- Capped T&M subject to a maximum authorised budget
- Milestone-Based payments linked to agreed delivery milestones

14. FIXED-PRICE PROJECTS

Before offering a fixed price, DISTILLOGIC should establish scope, technical requirements, deliverables, assumptions, exclusions, dependencies, acceptance criteria, timeline, client responsibilities and change control.

Fixed-price quotations should include appropriate contingency. Undefined critical requirements should not be accepted as fixed-price commitments.

15. PROJECT RISK PREMIUM

Elevated delivery or contractual risk should be priced rather than silently absorbed.

- unclear requirements or aggressive timelines
- undocumented legacy systems or high technical uncertainty
- critical production or high-security environments
- complex third-party dependencies
- unusual liability, strict SLA or third-party acceptance dependency

16. URGENCY PREMIUM

Unusually rapid mobilisation may justify an approved premium, including project rescue, emergency production work, urgent replacement teams, accelerated deadlines or mobilisation outside normal planning cycles.

17. ONSITE DELIVERY

Where onsite personnel are required, the proposal may include travel, accommodation, local transport, subsistence, travel-time treatment and an onsite premium. These terms should be agreed before mobilisation.

18. OVERTIME & NON-STANDARD HOURS

Standard rates apply to agreed business hours. Separate pre-authorised rates may apply to overtime, weekends, public holidays, night work, emergency support and on-call services.

19. APPLICATION MANAGEMENT & SUPPORT

Application Management may use a monthly retainer, T&M or a hybrid base fee plus variable effort. SLA pricing shall account for response times, coverage hours, severity levels, on-call requirements, service management and monitoring.

20. PROOF OF CONCEPT / DISCOVERY

Technical discovery, architecture assessment, proof of concept, prototype, technical audit and requirements clarification should normally be paid engagements. Free technical work must be limited and specifically authorised for strategic reasons.

21. MINIMUM ENGAGEMENT VALUE

Management may establish minimum thresholds for projects, work packages, dedicated teams and individual resources. Small engagements creating disproportionate administrative or delivery overhead may be declined or repriced.

22. DISCOUNTS

Discounts are not automatic and must have a commercial reason. Every discount should receive something in return.

- lower rate in return for longer commitment
- lower rate in return for larger team or guaranteed volume
- lower rate in return for advance payment or favourable terms
- discount justified by strategic account value, framework agreement or reduced delivery risk

23. DISCOUNT AUTHORITY

No employee, engineer, recruiter or delivery resource may independently agree pricing or discounts unless formally authorised. Final commercial authority remains with management.

24. NEGOTIATION STRATEGY

DISTILLOGIC normally negotiates from the Opening Rate, not the Floor Rate. The commercial range is Opening Rate, then Target Rate, and only exceptionally Floor Rate.

If a client requires a price below the Floor Rate, DISTILLOGIC should change scope, service level, team composition, duration, payment terms or risk allocation, or decline the engagement.

25. PAYMENT TERMS

Proposals should state invoice frequency, payment deadline, currency, taxes, timesheet approval, expenses, late-payment treatment and disputed-invoice process. Long payment periods may justify higher pricing because DISTILLOGIC finances delivery until collection.

25A. FINANCING EXPOSURE

Payment terms form part of the overall commercial value of an engagement.

Extended payment periods may require DISTILLOGIC to finance salaries, contractor costs, infrastructure, software, management and other delivery expenses for a longer period before receiving payment from the client.

Accordingly, payment terms shall be considered during pricing and commercial approval.

Where extended payment terms materially increase DISTILLOGIC's financing exposure, management may:

- adjust the applicable commercial rate or project price
- require a mobilisation payment
- establish milestone billing
- reduce the permitted credit exposure
- request additional contractual protection
- or decline the proposed payment structure

Two engagements with identical technical scope may therefore carry different commercial pricing where their payment terms and financial exposure differ materially.

Payment terms of Net 45, Net 60 or longer require specific commercial consideration before approval.

25B. CLIENT CREDIT EXPOSURE

DISTILLOGIC shall monitor the financial exposure created by unpaid invoices and work in progress for each material client engagement.

Internal credit exposure may include:

- issued but unpaid invoices
- completed but not yet invoiced work
- committed engineering resource costs
- non-cancellable project expenses
- reserved delivery capacity

Management may establish a Maximum Approved Credit Exposure for individual clients or engagements.

Where the approved exposure threshold is approached or exceeded, DISTILLOGIC may require:

- payment of outstanding invoices
- revised billing frequency
- advance or milestone payment
- reduction of additional committed work
- or management approval before further exposure is accepted

Engineering and delivery teams shall not independently extend commercial credit to clients.

26. MOBILISATION PAYMENT

Significant initial commitments may require a mobilisation payment, advance, first-month prepayment or milestone deposit. The structure depends on value, duration, client credit, resource reservation, upfront expense and risk. No universal deposit percentage is mandated.

27. INVOICING MODELS

The Proposal, MSA and/or SOW shall document the selected model.

- monthly for T&M, dedicated teams and ongoing services
- per milestone for project delivery
- advance plus milestones where mobilisation is required
- retainer plus variable usage for managed services or support

28. CURRENCY

EUR is the preferred currency for European engagements. Other currencies may be accepted where appropriate, with protection against material exchange-rate exposure.

29. TAXES

Unless expressly stated otherwise, commercial rates and fees are exclusive of VAT and other applicable taxes. Tax treatment depends on jurisdiction and contractual relationship.

30. RATE VALIDITY

Quotations shall have a defined validity period, typically 15-30 days depending on availability, currency conditions, start date and scope. Pricing and availability may be reconfirmed after expiry.

31. ANNUAL RATE REVIEW

Long-term agreements should allow periodic rate review for salary increases, inflation, market conditions, new obligations, changed scope or increased support. Annual review should normally be considered for multi-year contracts.

32. RESOURCE REPLACEMENT

If a resource becomes unavailable, DISTILLOGIC may propose a reasonably equivalent replacement. Commercial implications shall be addressed when seniority, role or requested profile materially changes.

33. CLIENT CANCELLATION & RESOURCE RESERVATION

Dedicated personnel represent reserved capacity. Agreements should address notice, early termination, committed periods, incurred costs and reserved resources. Any cancellation charges belong in the applicable commercial agreement.

34. CHANGE REQUESTS

Work outside agreed scope shall not be silently absorbed. Changes affecting scope, effort, timeline, team size, architecture or value should be assessed and approved before implementation where reasonably practicable.

35. INTELLECTUAL PROPERTY

Commercial agreements shall define ownership of project deliverables. Transfer of project-specific intellectual property may be linked to payment of agreed fees. Pre-existing DISTILLOGIC methodologies, templates, tools, frameworks, reusable know-how and generic components should remain separately identified.

36. RESOURCE NON-SOLICITATION

Where DISTILLOGIC introduces personnel, the applicable MSA or agreement may contain legally reviewed non-solicitation, non-circumvention, direct-hire and conversion provisions, including duration and financial remedy.

37. CONFIDENTIALITY OF PRICING

Internal costs, salary information, contractor costs, Floor Rates, internal margins, profitability, negotiation thresholds and supplier rates are strictly confidential. Clients may receive only approved quoted rates, team or project pricing and commercial terms. They never receive the internal calculation.

38. INTERNAL APPROVAL BEFORE PROPOSAL

Before a material proposal is submitted, the commercial owner should confirm scope, delivery model, real resource cost, management and infrastructure cost, risk, Floor Price, Target Price, Opening Position and expected cash collection.

39. PROFITABILITY REVIEW

A material engagement must generate commercially acceptable profit relative to its risk; positive revenue alone is insufficient.

Item	Required review
Contract Revenue	Total expected client revenue
Direct Delivery Cost	Engineers and subcontractors
Employer Costs	Where applicable
Infrastructure	Cloud, software and equipment
Delivery Management	PM, architect, QA and administration
Corporate Overhead	Allocated company cost
Risk Reserve	Contingency
Gross Commercial Profit	Revenue minus delivery costs
Expected Taxes	Accounting and tax provision
Cash-Flow Reserve	Liquidity buffer
Available Company Profit	Amount remaining after required provisions

40. COMMERCIAL DECISION RULE

Final approval considers profitability, risk, cash flow, capacity, strategic value and opportunity cost. Management must assess whether the engagement is attractive, financeable, deliverable and a good use of scarce resources.

41. CLIENT-FACING COMMERCIAL DOCUMENTS

This policy is not for client distribution. Approved external documents may include a Rate Card, Commercial Proposal, Statement of Work, Master Services Agreement and Purchase Order or Call-Off.

42. COMMERCIAL DOCUMENT HIERARCHY

Internal Pricing Policy -> Internal Cost & Margin Calculation -> Approved Client Rate / Project Price -> Commercial Proposal -> Negotiation -> MSA + SOW / Purchase Order -> Delivery & Invoicing.

43. MANAGEMENT AUTHORITY

Final approval of client and project pricing, discounts, payment terms, commercial exceptions and strategic concessions remains with authorised management. No client commitment is final until approved by an authorised company representative.

44. CONFIDENTIALITY

This document contains commercially sensitive information about DISTILLOGIC's pricing methodology, strategy and internal decision-making. It shall be treated as STRICTLY INTERNAL & CONFIDENTIAL. Unauthorised disclosure is prohibited.

Management review notice

This internal policy should be reviewed with the company's accountant and qualified legal counsel before formal adoption, particularly for tax, employment, competition, payment, liability and cross-border contracting considerations.

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